Identification Guidelines

Table 11.1 shows the identification guidelines for the broadening top.

Appearance. The pattern looks like a megaphone with price peaks and valleys bounded by two diverging trendlines. The top trendline slopes upward, and the bottom one slopes downward.

Price trend. The price trend leading to the start of the pattern is what differentiates a broadening top from a broadening bottom. For broadening tops, the price trend should be upward, leading to the chart pattern, not downward as in the broadening bottom. This is just an arbitrary designation I have chosen to distinguish tops from bottoms (in all chart pattern types).

Trendlines. Trendlines drawn across the peaks and valleys resemble a megaphone. Higher highs and lower lows make the formation obvious to those versed in spotting chart patterns. The slope of the trendlines is what distinguishes this chart pattern from others. The top trendline must slope up and the bottom one must slope down. When one of the two trendlines is horizontal or nearly so, the formation becomes a right-angled ascending or descending broadening formation. When the two trendlines slope in the same direction, the formation is a broadening wedge.